

Olympic Rent a Car : Customer Loyalty Battles

Team 7

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Qualitative Insights to Strengthen Olympic's Competitive Edge

Situation



- Olympic has implemented the Medalist Rewards program to boost customer loyalty and retention. The focus is on providing excellent service and added benefits like tax savings.
- Competitors like Expedia, Priceline, and Orbitz offer lower-cost options, attracting price-sensitive customers.
- The rise in digital bookings and increased online user engagement is transforming the traditional rental car landscape, pushing Olympic to adapt.

Complication



- Olympic faces tough price competition from third-party platforms, making it harder to maintain competitive pricing.
- Its current website and mobile application are outdated, limiting its appeal to tech-savvy customers.
- Strong competition from brands like Enterprise, Hertz, and Avis makes it difficult to attract new customers and retain loyalty in an increasingly digital market.

Question ?

- How can Olympic remain competitive in the evolving rental market, given the rise of third-party platforms?
- What changes are needed to enhance their digital presence and maintain a strong brand identity?
- How can Olympic continue attracting new customers while retaining loyal ones through its Medalist program?

Answers



- Olympic should focus on delivering outstanding customer service and offering personalized promotions to loyal customers through the Medalist program.
- They must improve operational efficiency with data analysis and streamline rental processes to enhance experience.
- Olympic should form partnerships with third-party platforms, maintain competitive pricing, and emphasize its local-friendly brand in new advertising campaigns.

Quantitative Insights: Olympic's Strategy for Matching Enterprise

Cost of Matching Enterprise:

If Olympic shifts to Enterprise's model, the projected increase in free-day claims could result in an additional cost of **\$167,076** due to increased free rental days.



Metrics	Value
Total Rental Days (2012)	3,978,000
Current Free Days (% of total)	1.45%
Projected Free Days (% of total)	1.65%
Additional Free Days	7,956
Cost per Free Day	\$21
Additional Cost (\$)	\$167,076

Projected Spending for Medalist Program:

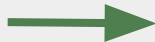
Based on projected free-day claims, Olympic may need to allocate an additional **\$3.08M - \$7.7M** annually to sustain the Medalist Program.



Spend Required	Value
Total Revenues (2012)	\$1.54 Bn
Additional Spending (0.2%)	\$3.08 Mn
Additional Spending (0.5%)	\$7.7 Mn

Economic Value of a Medalist Member

 Gold members	 Silver members	 Bronze members
\$2058.86	\$2057.57	\$974.4



Metrics	Gold Members	Silver Members	Bronze Members
Total Spending (\$)	\$45,000,000	\$132,000,000	\$146,000,000
Number of Members	21,000	63,000	146,000
Free Rental Days Claimed	84,000	113,000	178,000
Cost of Free Days (\$)	\$1,764,000	\$2,373,000	\$3,738,000
Spending per Member (\$)	\$2,142.86	\$2,095.24	\$1,000.00
Free Days Cost per Member (\$)	\$84	\$37.67	25.6
Economic Value per Member (\$)	\$2,058.86	\$2,057.57	\$974.40

Strategic Recommendations: Enhancing Olympic's Market Position

Product



- Revamp the Medalist Rewards Program by shifting from rental days to dollars spent for points, making it more competitive and valuable for high-tier customers.
- Enhance customer experience by investing in faster airport check-ins and improving the mobile app to cater to the tech-savvy user base.
- Introduce multiple reward tiers to provide tailored benefits for high-value customers, improving loyalty retention.

Price



- Maintain slightly lower pricing compared to major competitors while ensuring a "Best Price Guarantee" to reinforce Olympic's value proposition.
- Utilize dynamic pricing to maximize revenue during high-demand periods, optimizing profitability.
- Eliminate blackout dates for rewards redemption to enhance customer satisfaction and encourage frequent rentals.

Place



- Expand presence at major airports to better compete with Enterprise, especially for business travelers who value convenience.
- Partner with travel aggregators such as Expedia and Priceline to increase Olympic's visibility and attract more online bookings.

Promotion



- Increase the advertising budget for the revamped loyalty program, focusing on the new "Everyone's a Winner" concept to attract new customers.
- Leverage data analytics to offer personalized promotions and rewards, ensuring that loyal customers feel valued.
- Highlight speed and convenience in marketing campaigns, emphasizing Olympic's improvements in check-in and customer service.